

How I Discovered a Sales-Killing Gap and Exploited It to Multiply Sales Severalfold

DataCo Global company

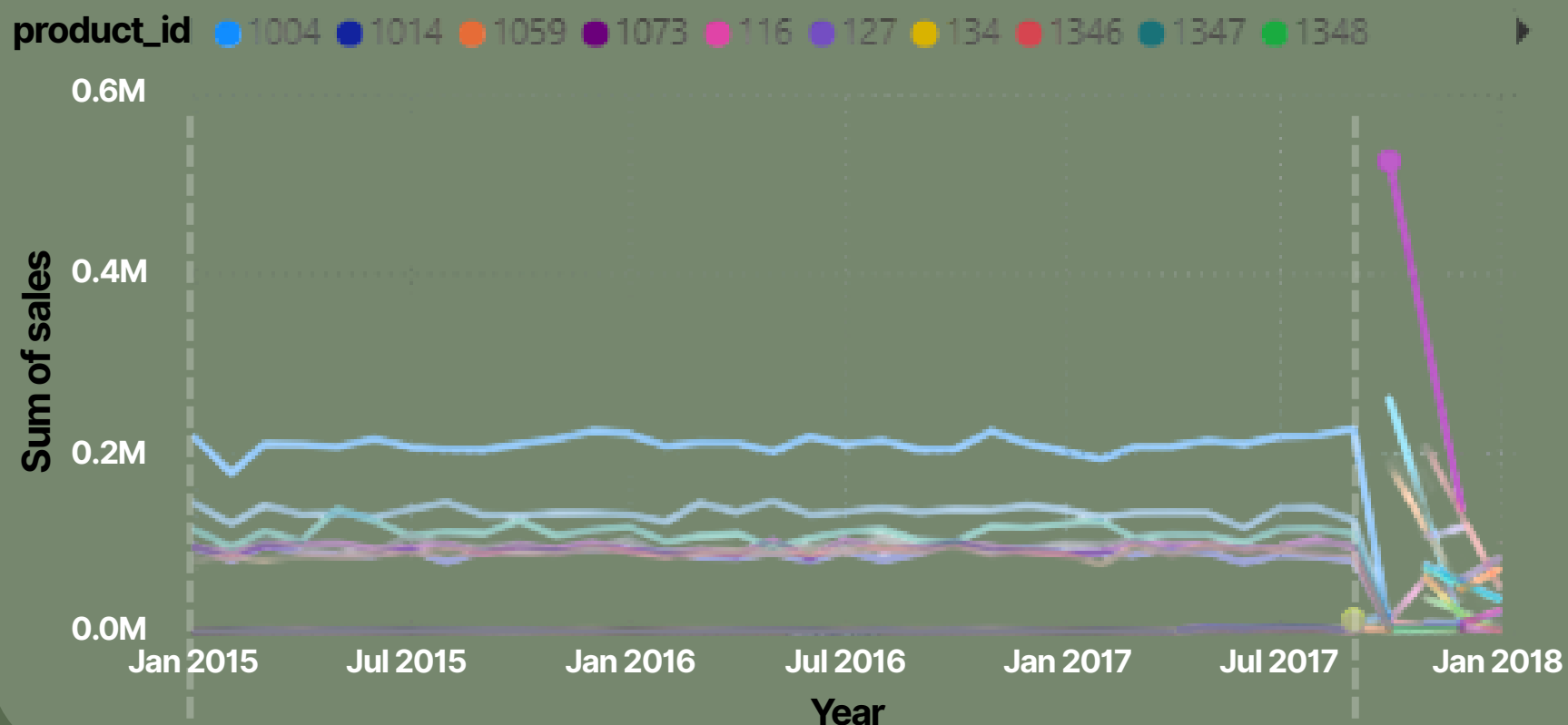


The Beginning..

9 Products Dominating 94.7% of Sales

From January 2015 to September 2017
The company was selling 54 products, but only 9 of them generated total sales of \$32.4M out of \$34.2M total — representing 94.7% market dominance.

Sum of sales by Year, Quarter, Month and product_id

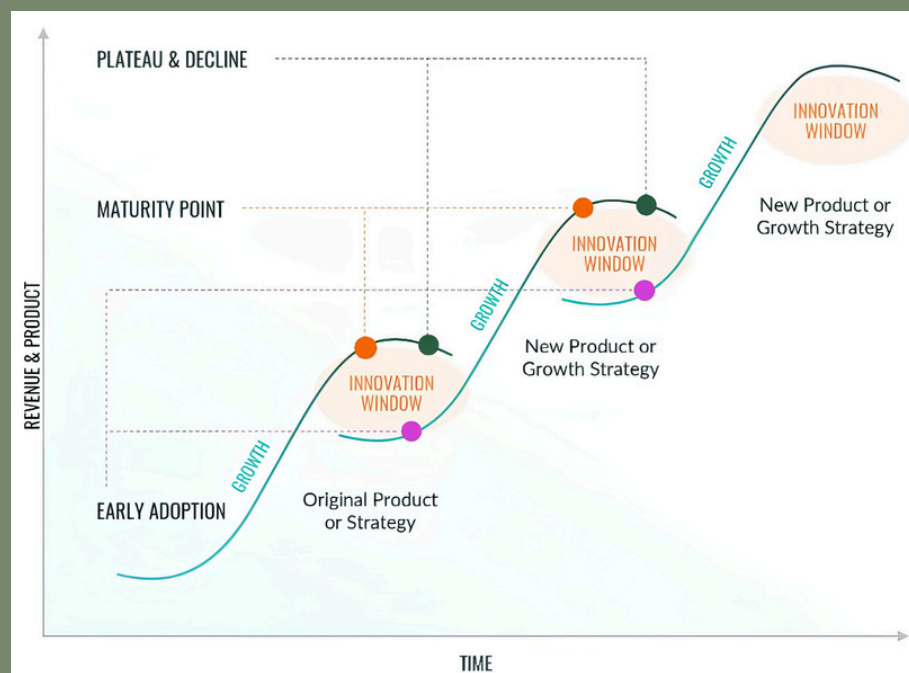


From Jan 2015 to Sep 2017

The Company's Intelligence in Inventory Management

Data revealed that the company was not operating randomly. It was applying a well-known tactic called the S-Curve with precision in product selection:

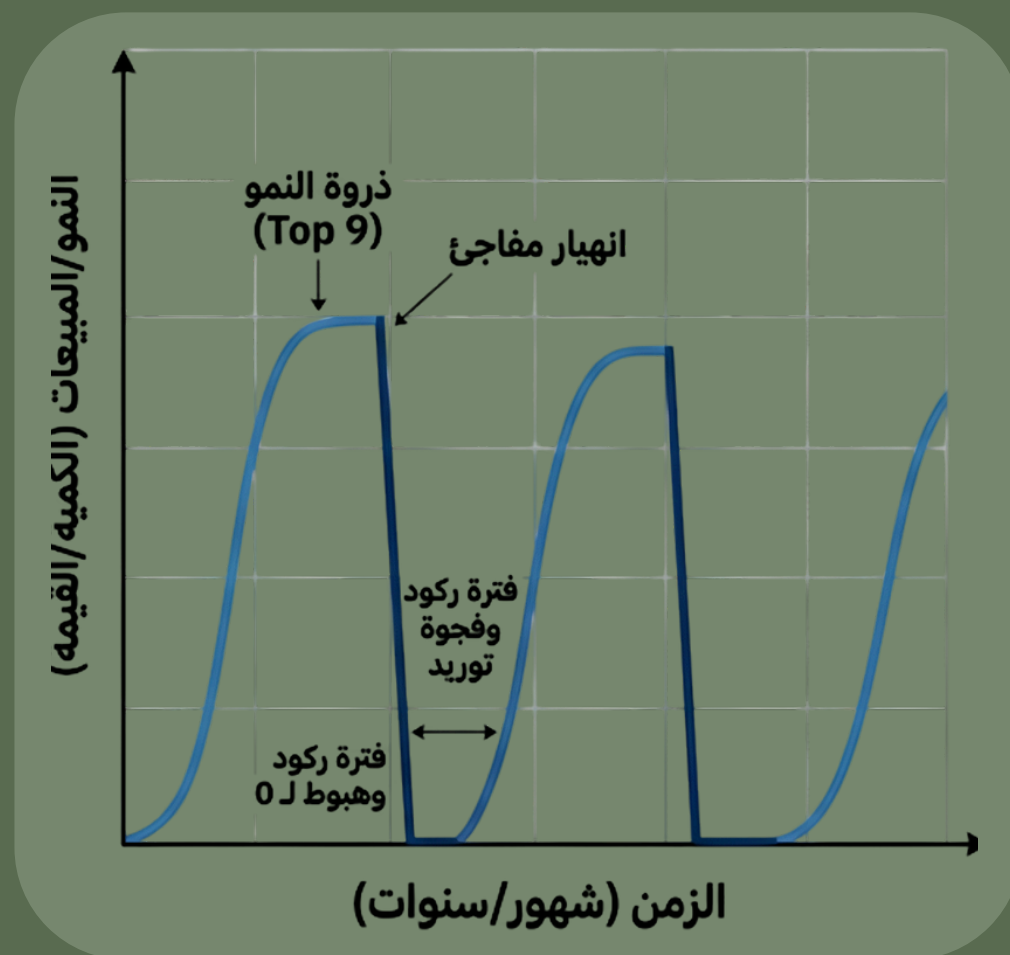
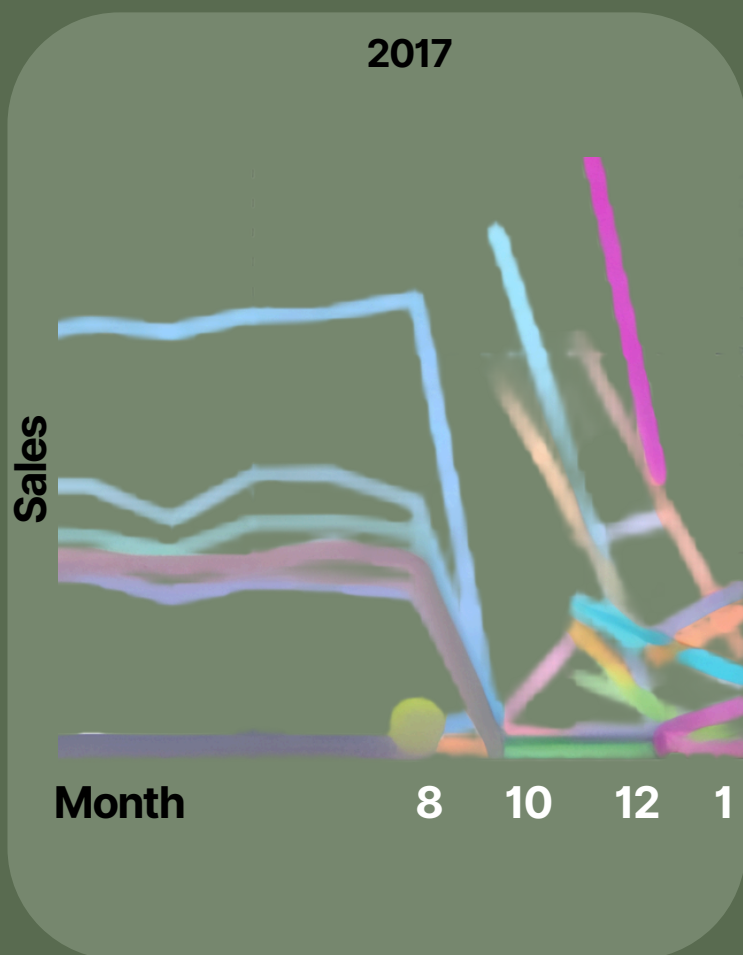
- 1- Launch many products and monitor **market behavior** and **the Sales Curve**.
- 2- Ride the trend with the **Top N** products by growth rate.
- 3- Maximize profits until reaching the peak.
- 4- Search for new products as soon as decline indicators appear — to transition to a new **S-Curve**.



The Fatal Gap

- In **August 2017**, the curve for the **Top 9** products began a sharp decline and reached **absolute zero** in **just two months**.
- Management noticed the beginning of the decline and immediately began introducing new products in months **9, 10, 11, and 12**.

But, the decline was faster than the emergency plan resulting in a **28% drop in sales that lasted more than 5 months**.



The Financial Statement

Comparison between the Stability Phase and the Recession Phase (monthly figures)

Financial Indicator (Monthly)	Stability Phase	Recession Phase	Change Rate
Total Sales	\$1,034,515.33	\$730,189.13	-29.42%
Total Cost	\$692,042.60	\$664,099.33	-4.04%
Net Profit	\$111,360.08	\$80,181.76	-28%
Profit Margin	10.76%	10.98%	0.22%



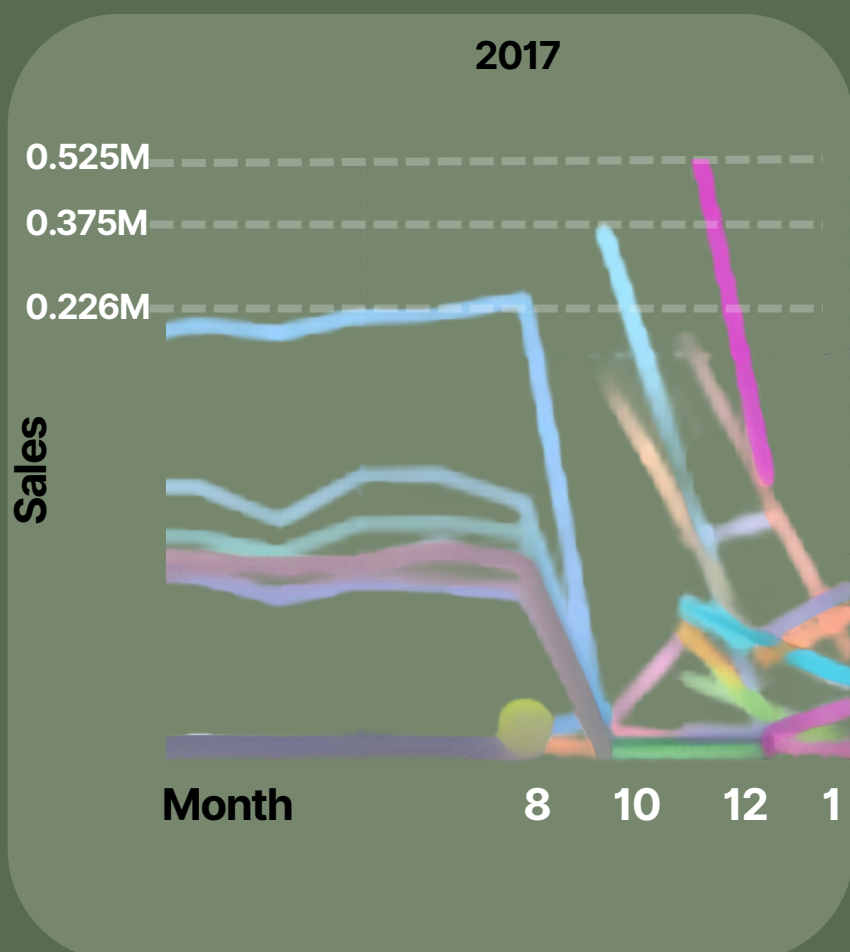
Although the profit margin during the recession phase was slightly higher (**10.98%**) due to the introduction of higher-margin products, the massive drop in total sales (**~30%**) consumed overall profits — creating a deficit in compensating for the lost selling power.

The Two Gaps Resulting from the Flaw

The decline was much faster than the emergency plan (it happened in just two months), and the 5-month recovery period was not enough for full recovery **posing an existential threat**.

Discovering an Untapped Product: A product like the **Dell Laptop** — whose sales began in **October 2017** — started at **\$525,000** while already in its declining phase. This was higher than the best-selling product over the **previous 3 years**.

- If discovered 5 months earlier, sales would have jumped by an additional \$2.625M from a single product alone.



The Most Important Question:

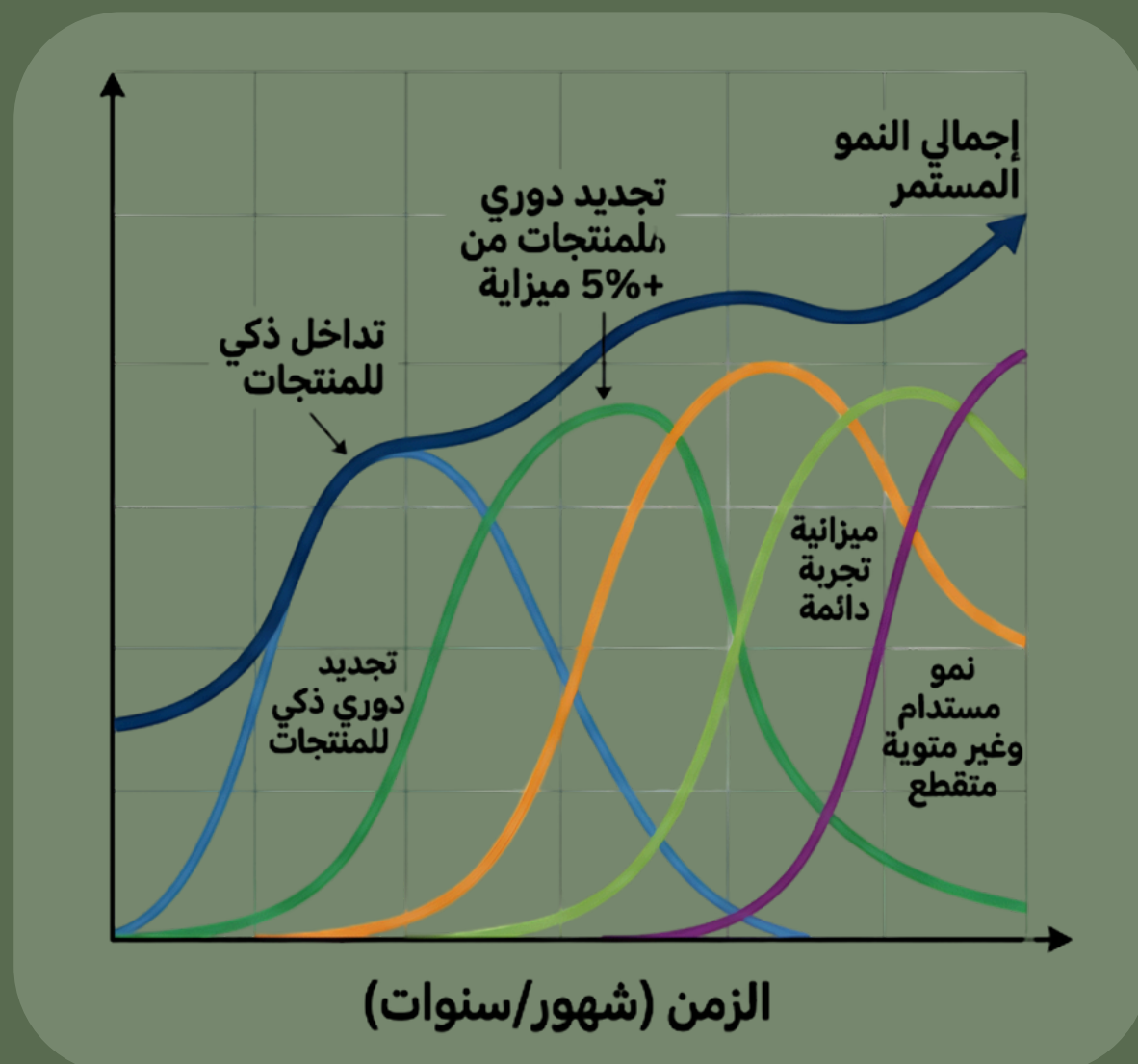
What if we continuously discovered such products all along the way?



The Recommendation

Allocate **5%** of capital for investment in discovering new products throughout the **S-Curve** growth period — not after its collapse.

- Conservative Scenario: Prevent falling into the gap trap between curves, protecting against a real existential threat, and compensating for the **28%** sales decline — keeping financial performance stable and consistent at all times.
- Optimistic Scenario: Early and continuous discovery of sales powerhouses like the **Dell Laptop** — capable of multiplying revenues and profits several times over.



**If you were the
decision-maker in
this company**

Would you adopt

the 5% strategy

**or do you have a
different approach?**